Preformed Line Products (PLPC)

Record Quarter, Real Moat

Analyst: Justin Wen

*Record Quarter, Real Moat. Q2 delivered record $212.7M sales (+25% YoY) and record $4.49 EPS (+75% YoY) [10-Q Q2 FY26]. Utilities spec PLPC hardware into their blueprints with rigorous safety certifications, creating switching costs competitors cannot easily dislodge. Market Prices Stagnation. Our DCF base of $419.29 implies 18.8% upside from $352.91 [Mkt 17-Oct-26], while reverse DCF says the market prices just 2.5% growth, below even our bear case. The stock sits 30% below its $505 high despite accelerating fundamentals. Multiple Demands Respect. The honest offset: 42x trailing P/E is nearly four times the 5-year median of 12.1x [Mkt 17-Oct-26]. 2024 proved this business can shrink 11% in a down cycle. The setup works if the grid cycle is structural; size the position for the cycle risk. Our framework screens it as a **Buy** with a $417.07 blended target, 18% above the current price.*

BUY	$417.07	+18%	$352.91
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Record Quarter, Real Moat. Q2 delivered record $212.7M sales (+25% YoY) and record $4.49 EPS (+75% YoY) [10-Q Q2 FY26]. Utilities spec PLPC hardware into their blueprints with rigorous safety certifications, creating switching costs competitors cannot easily dislodge.

Executive summary

Market Prices Stagnation. Our DCF base of $419.29 implies 18.8% upside from $352.91 [Mkt 17-Oct-26], while reverse DCF says the market prices just 2.5% growth, below even our bear case. The stock sits 30% below its $505 high despite accelerating fundamentals.

Multiple Demands Respect. The honest offset: 42x trailing P/E is nearly four times the 5-year median of 12.1x [Mkt 17-Oct-26]. 2024 proved this business can shrink 11% in a down cycle. The setup works if the grid cycle is structural; size the position for the cycle risk.

$212.7M	34.3%	$4.49	$669.3M	$232.8M	$83.4M
REVENUE (Q2 FY26)	GROSS MARGIN (Q2 FY26)	EPS DILUTED (Q2 FY26)	REVENUE (FY2025)	BACKLOG (YE2025)	CASH (YE2025)

The moat is structural

Grid modernization and transmission expansion, a multi-trillion-dollar investment cycle across North America

Three scenarios make the valuation range explicit

The DCF values Preformed Line Products across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$280.75**	-20%
Base	50%	**$410.94**	+16%
Bull	25%	**$565.65**	+60%

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Bear ($280.75, -20%): Growth disappoints and multiples compress; the $280.75 target marks the downside case.

Bull ($565.65, +60%): Execution compounds and the multiple rerates; the $565.65 target marks the upside case.

The probability-blended target implies +18% upside

Blended target: $417.07 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +18% upside from the $352.91 reference price.

$417.07

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (ttm) ~42x [Mkt 17-Oct-26] DCF Base $419.29 (+18.8%) PEG 7.7 [Mkt 17-Oct-26] Trailing multiple looks rich, but DCF says the market prices only 2.5% growth. Forward earnings power, not trailing earnings, is the real debate.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $417.07 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Grid modernization and transmission expansion, a multi-trillion-dollar investment cycle across North America [Cons]

Utility spec-in designs with safety certifications create high switching costs and a durable niche moat [10-K FY25]

Data center power demand and renewable integration lifting energy segment volumes [10-Q Q2 FY26]

Capacity additions in Poland and Spain plus bolt-on acquisitions expanding the international footprint [Cons]

What to monitor

Late Oct 2026. Q3 FY26 Earnings (Positive): Record Q2 sets a high bar. Watch gross margin trajectory and tariff commentary.

Late 2026. Poland Facility Ramp (Positive): New European capacity coming online to serve grid demand.

2027. Data Center Power Demand (Positive): Transmission hardware demand from AI data center buildout is a structural tailwind.

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REVENUE (Q2 FY26)	GROSS MARGIN (Q2 FY26)	EPS DILUTED (Q2 FY26)	REVENUE (FY2025)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$669M	$209M	$35M
2024	$594M	$190M	$37M
2023	$670M	$235M	$63M
2022	$637M	$215M	$54M

Key risks

Tariff Exposure. Management cited tariffs and tariff-related LIFO costs as a headwind pressuring margins, even with a mostly domestic production base. [10-Q Q2 FY26]

Cyclical Demand. Revenue fell 11% in 2024 when utility spending paused. Demand is cyclical and tied to utility capex budgets the company does not control. [10-K FY24]

Rich Multiple. At 42x trailing P/E against a 5-year median of 12.1x, any growth stumble would reprice the stock hard. The stock already fell 30% from its $505 high. [Mkt 17-Oct-26]

Thin Coverage and Liquidity. Only two analysts cover the stock and average daily volume is light, which amplifies drawdowns when sentiment turns. [Cons]

Investment view

Q3 FY26 earnings in late October are the near-term test: another record quarter with margin expansion supports the base case ($419). A tariff-driven margin miss or a demand pause would validate the 42x multiple skeptics and push the stock toward bear ($286).

Buy. The $417.07 blended target implies +18% upside, balancing the $280.75 / $410.94 / $565.65 Bear / Base / Bull targets.

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Upcoming catalysts

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